PHARMACY NETWORK CONFIGURATION · AUDIT WORKSHEET

Five Network Terms Set Where Members Fill. *The Routing Pattern Rarely Matches the Clause.*

Three audit passes. One network design. One exclusion log.

> This handout decodes the five network contract terms: preferred network, broad network, network guarantee, mandatory mail, and network exclusion list. Most plans receive the network membership list once at contract signing and never again. The exclusion log compounds quietly; the audit is what surfaces the drift.

01 Pull the actual fill distribution by network configuration

Open your most recent quarterly report. Calculate the share of fills landing in each configuration: preferred network, broad network, mandatory mail, PBM-affiliated specialty.

If the breakdown is not in the report, request it.

02 Compare the actual fill distribution to the contract's network design

Open your contract's network membership clause and the preferred network list. Compare contracted design to actual pattern. Common findings: preferred-network share lower than designed (member out-of-network drift); mandatory-mail share higher than expected (workflow capture).

03 Audit the network guarantee clauses

Open the network guarantee clause. Note guaranteed minimums (preferred-network share, retail dispensing fee, mail discount). Compare actual performance to the guarantee, noting any carve-outs that move the in-scope categories.

04 The Pattern PBS Sees Most Often

> **Across hundreds of PBM contract reviews and audits annually at PBS:** the network exclusion list grows over the contract term as pharmacies are removed for not accepting the PBM's reimbursement terms. Plan sponsors rarely receive notification of these removals, but the removals affect member access and aggregate plan economics.

05 Paste-Ready: Send to Your Broker or PBM

DATA REQUEST · TO YOUR PBM ACCOUNT TEAM

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Subject: Network audit — fill distribution + exclusion log

Please provide the following network data:

  1. Dispensing-channel fill distribution for the last four quarters,
     by configuration:
        a. Preferred network
        b. Broad network (non-preferred but in-network)
        c. Mandatory mail
        d. PBM-affiliated specialty
     Per quarter, with claim count and total plan-paid dollars.

  2. Network membership list as of contract effective date and current
     network membership list. Provide diff: pharmacies added and removed.

  3. Network exclusion log for the past 12 months, including reason for
     each pharmacy removal.

  4. Network guarantee performance: actual vs. contracted minimums for
     preferred-network share, retail dispensing fee, mail discount.

Delivery requested within 14 business days.
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06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Pull the fill distribution and network design clauses

Compare actual to design. Document the gap.

STEP 2 · WEEK 2

Calculate guarantee performance vs. minimum

Document any miss with the dollar magnitude.

STEP 3 · WEEK 3

Request the 12-month exclusion log

Pharmacies removed from the network are signal about the PBM's reimbursement-term enforcement.

STEP 4 · AT RENEWAL

Negotiate notification clauses for network changes

Plan sponsors should receive written notification of every pharmacy removal.